

proof that markets are from Extremistan needs to have his head examined. Dozens of papers show the inadequacy of the Gaussian family of distributions and the scalable nature of markets. Recall that, over the years, I myself have run statistics backward and forward on 20 million pieces of data that made me despise anyone talking about markets in Gaussian terms. But people have a hard time making the leap to the consequences of this knowledge.

The strangest thing is that people in business usually agree with me when they listen to me talk or hear me make my case. But when they go to the office the next day they revert to the Gaussian tools so entrenched in their habits. Their minds are domain-dependent, so they can exercise critical thinking at a conference while not doing so in the office. Furthermore, the Gaussian tools give them numbers, which seem to be “better than nothing.” The resulting measure of future uncertainty satisfies our ingrained desire to simplify even if that means squeezing into one single number matters that are too rich to be described that way.

The Clerks’ Betrayal

I ended [Chapter 1](#) with the stock market crash of 1987, which allowed me to aggressively pursue my Black Swan idea. Right after the crash, when I stated that those using sigmas (i.e., standard deviations) as a measure of the degree of risk and randomness were charlatans, everyone agreed with me. If the world of finance were Gaussian, an episode such as the crash (more than twenty standard deviations) would take place every several billion lifetimes of the universe (look at the height example in [Chapter 15](#)). According to the circumstances of 1987, people accepted that rare events take place and are the main source of uncertainty. They were just unwilling to give up on the Gaussian as a central measurement tool—“Hey, we have nothing else.” People want a number to anchor on. Yet the two methods are logically incompatible.

FIGURE 14

